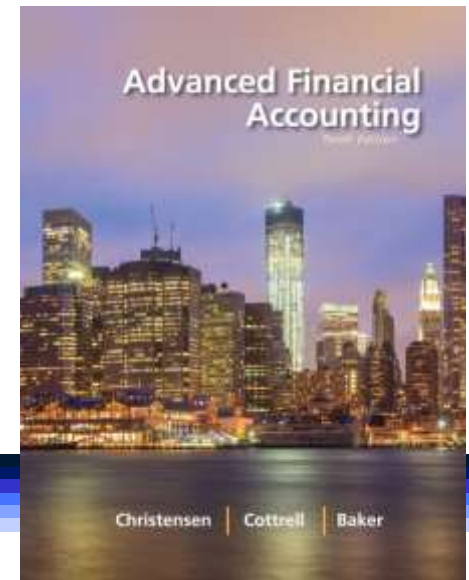


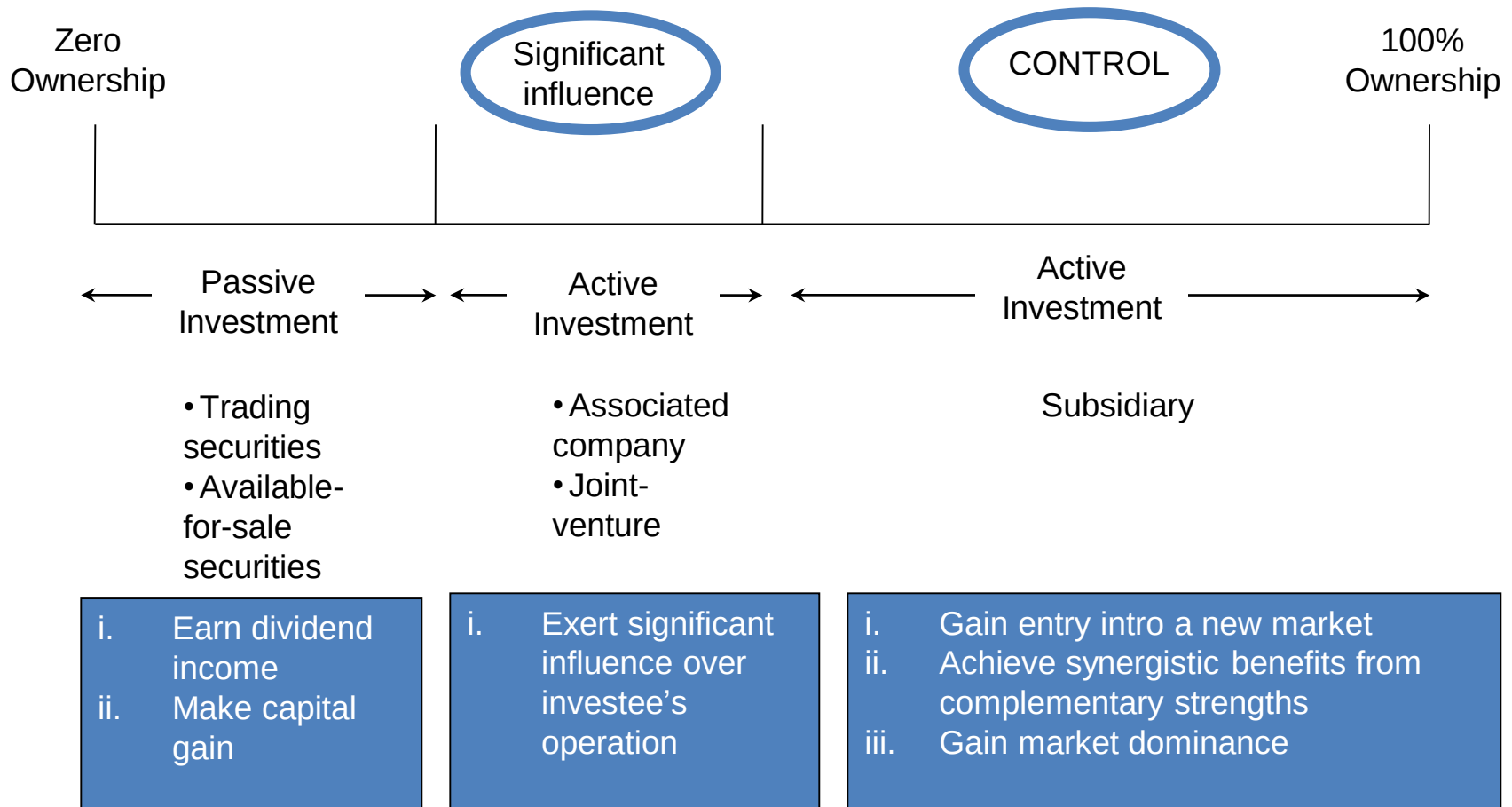
Chapter 1



Intercorporate Acquisitions and Investments in Other Entities

Investing Strategies, Ownership Levels and the Impact on Financial Reporting

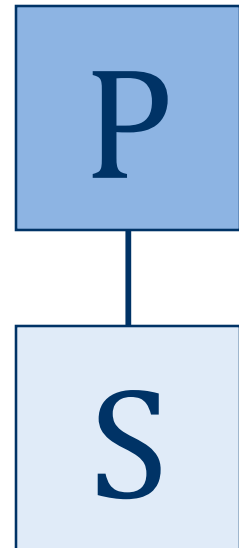
Continuum of intercorporate ownership



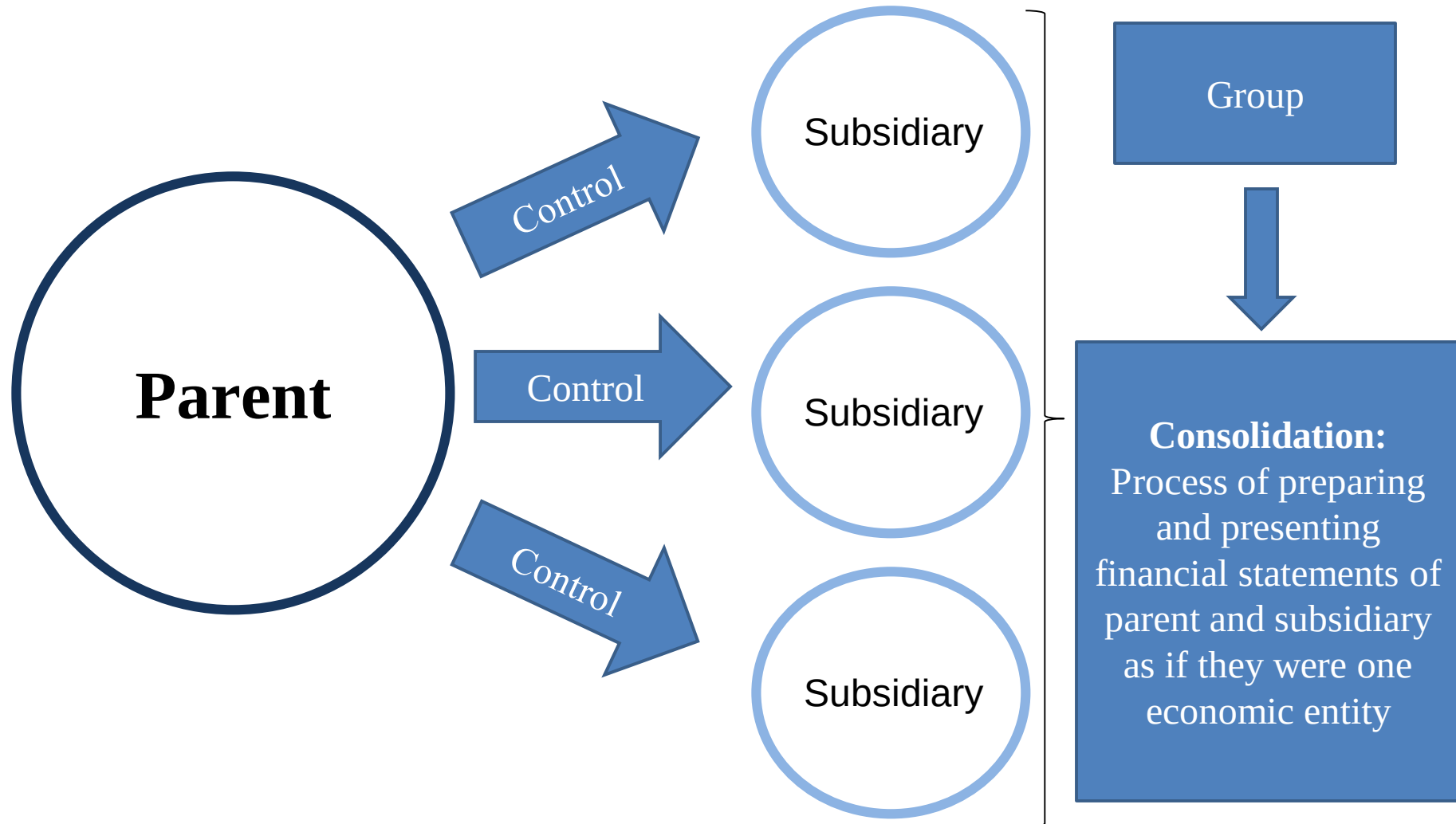


Business Objectives

- ◆ A *subsidiary* is a corporation that is **controlled** by another corporation, referred to as a *parent company*.

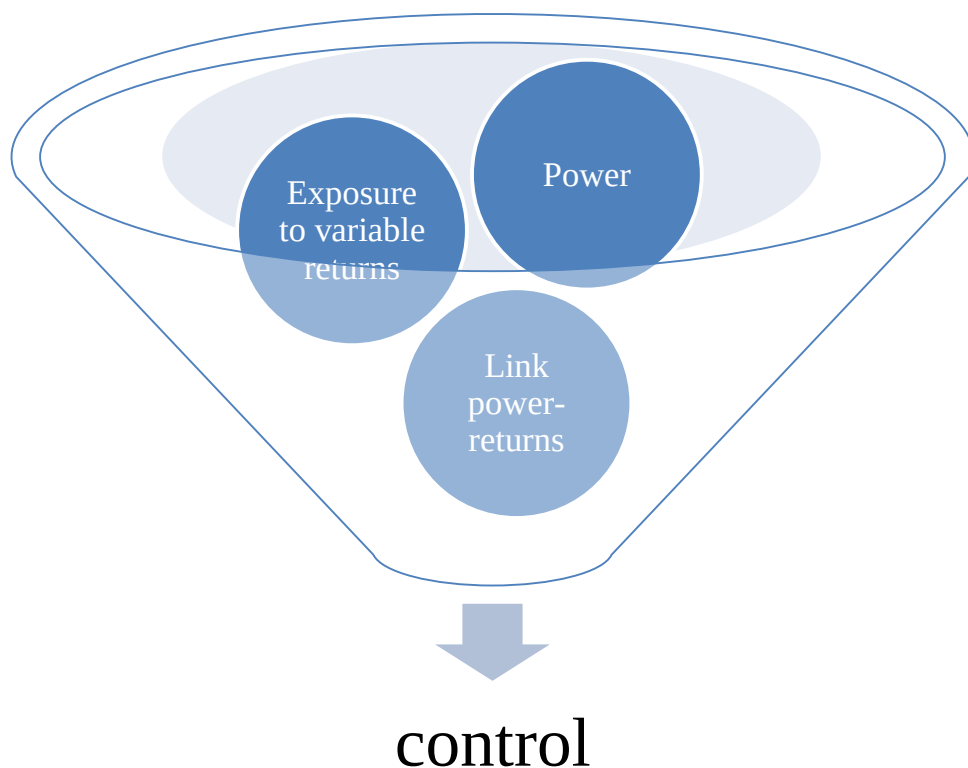


Parent-Subsidiary Relationship



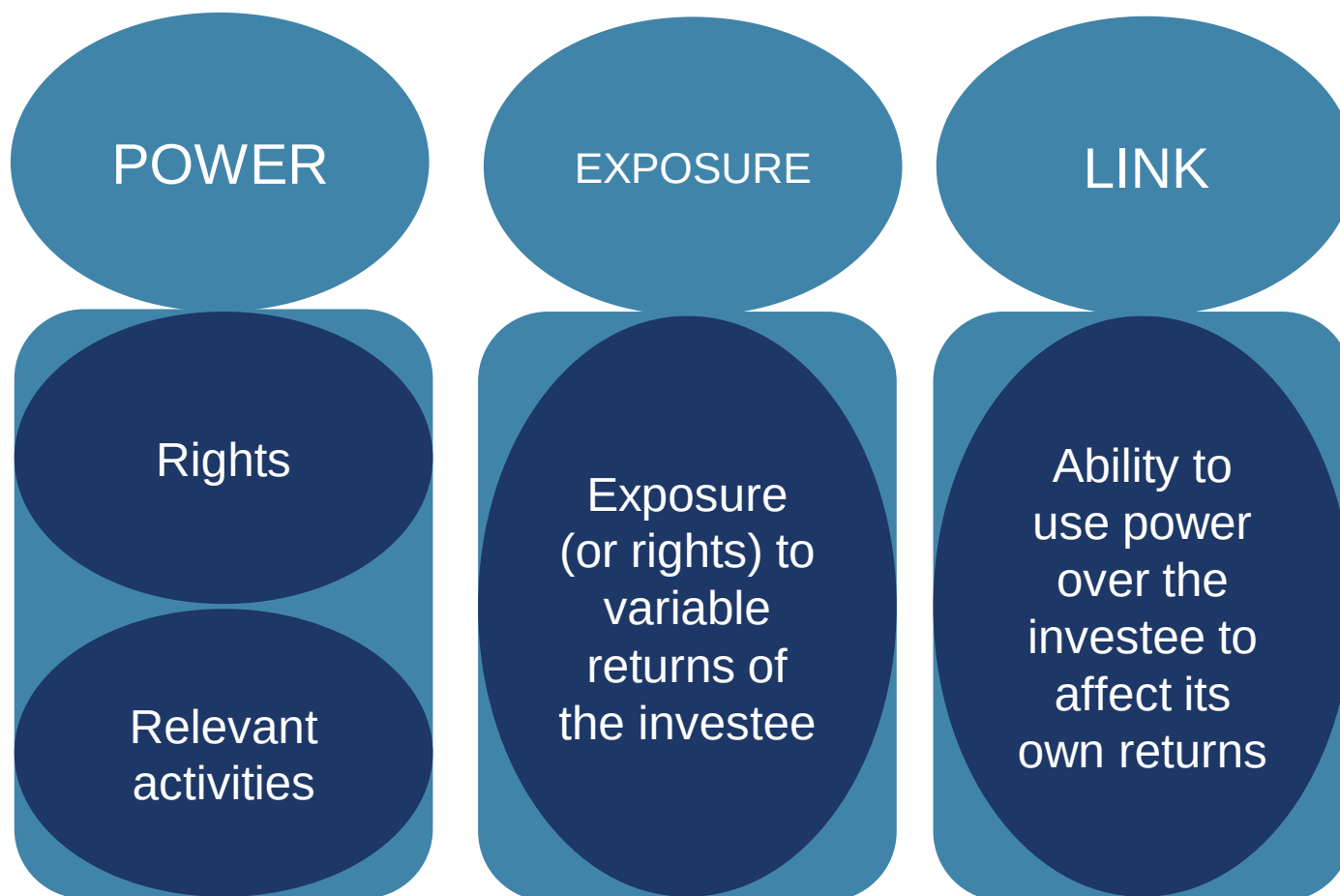
The control model—an overview

An investor **controls** an investee when it is exposed, or has rights, to **variable returns** from its involvement with the investee and has the ability to affect those returns through its **power** over the investee.



Assessing control of an investee

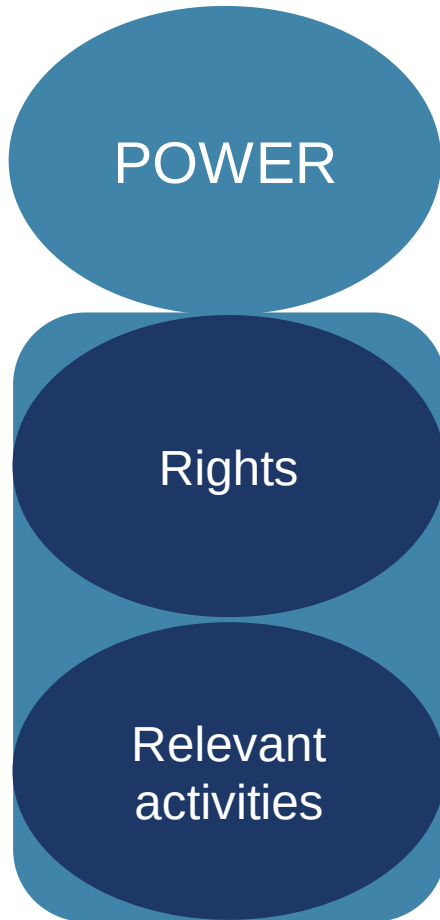
6



- There must be power to decide on the financial and operating policies of an entity
- The controlling entity must be able to enjoy the benefits from the exercise of the power

Assessing power over an investee

8



- Power = existing **rights** that give it the current ability to direct the **relevant activities**
- **Power** arises from **rights** (e.g. voting rights, rights to appoint key personnel)
- **Relevant activities:** significantly affect the investee's returns

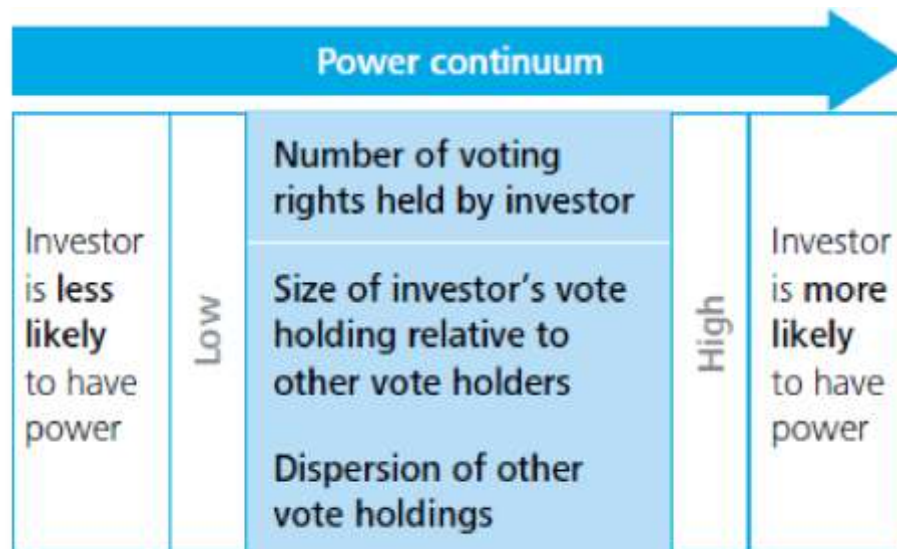
- Voting rights
- Potential voting rights
- Contractual rights



Ownership of more than
50% of voting rights
constitutes control, in the
absence of any evidence to
the contrary

Power - rights

10



- An investor acquires 48 percent of the voting rights in an investee, the remaining votes are held by 1000s of shareholders, none individually holding more than one percent of the voting rights and there are no arrangements to consult any of the others shareholders or make collective decisions.
- In this situation, it is concluded that the dominance of the investor's position relative to the size and dispersion of the other vote holdings was sufficient to conclude that the investor has power.

- Investor A holds 40% of the voting rights of an investee.
- Twelve other investors each hold 5% of the voting rights.
- Shareholder agreement: investor A has the right to appoint, remove and set the remuneration of management responsible for directing the relevant activities. Two-thirds majority vote of the shareholders is required to change the agreement.

Example 2:* power *do rights give power?*

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- Investor A holds 40% of the voting rights of an investee.
- Twelve other investors each hold 5% of the voting rights.
- Shareholder agreement: investor A has the right to appoint, remove and set the remuneration of management responsible for directing the relevant activities. Two-thirds majority vote of the shareholders is required to change the agreement.
- investor A concludes that the absolute size of the investor's holding and the relative size of the other shareholdings alone are not conclusive in determining whether the investor has rights sufficient to give it power. However, investor A determines that its contractual right to appoint, remove and set the remuneration of management is sufficient to conclude that it has power over the investee.

Examples of activities that, depending on the circumstances, can be relevant activities include:

- Selling and purchasing of goods or services;
- Managing financial assets during their life;
- Selecting, acquiring or disposing of assets;
- Researching and developing new products or processes; and
- Determining a funding structure or obtaining funding

- IAS 27 requires potential voting rights, which are currently exercisable or convertible, to be considered when determining the existence of control
- IAS 27:14: Potential voting rights arise from “share warrants, share call options, debt or equity instruments that are convertible into ordinary shares, or other similar instruments that have the potential, if exercised or converted, to give the entity voting power or reduce another party’s voting power over the financial and operating policies of another entity

Potential Voting Rights in the Determination of Control

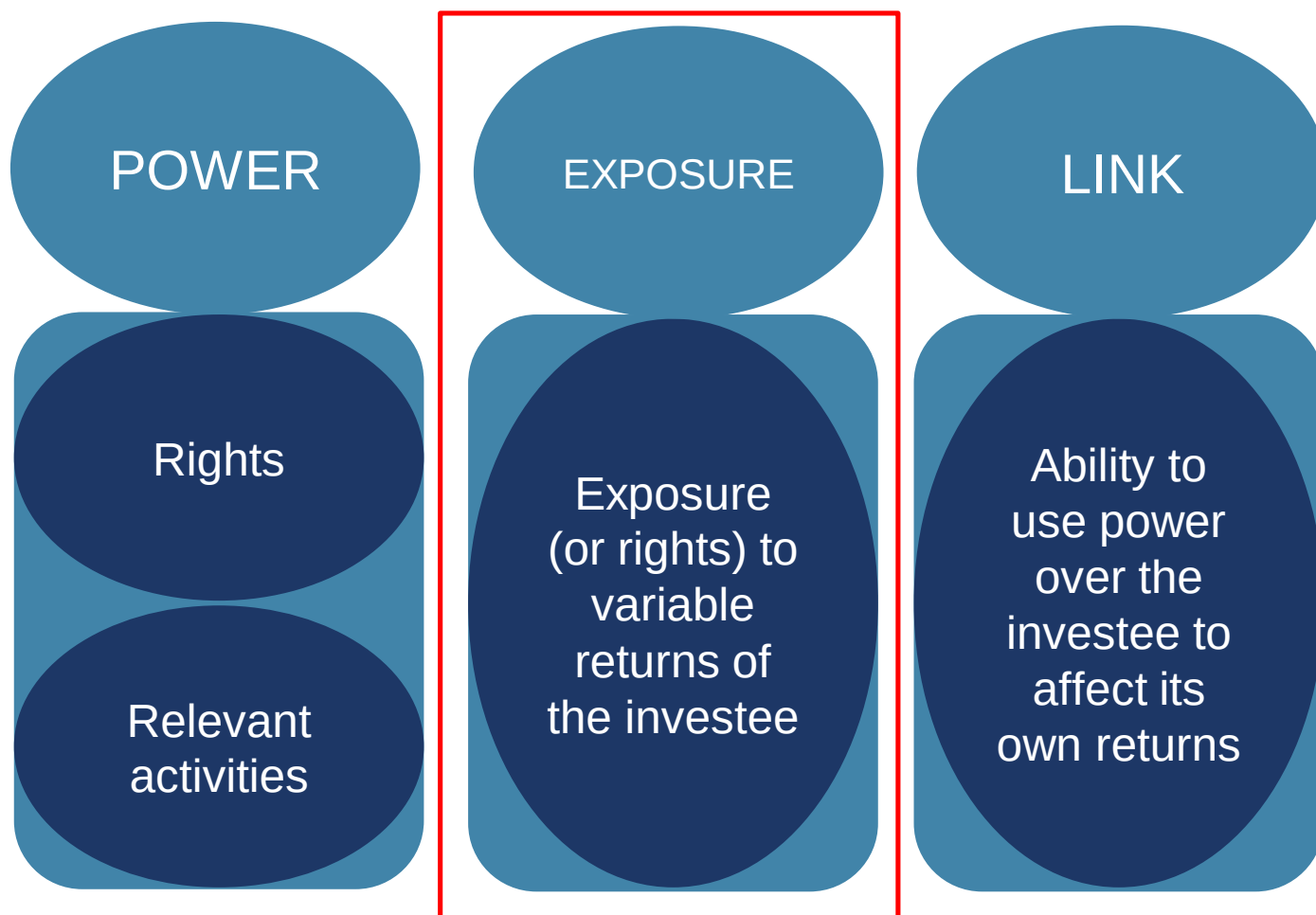
Illustration of potential voting rights

	Issued ordinary shares	Percentage of ordinary shares	Issued share warrants	Potential shares from warrants	Total shares (issued and potential)	Percentage of total shares
Company A	\$10,000,000	50%	\$5,000,000	\$10,000,000	\$20,000,000	62.50%
Other investors	10,000,000	50%	1,000,000	2,000,000	12,000,000	37.50%
Total	\$20,000,000	100%	\$6,000,000	\$12,000,000	\$32,000,000	100.00%

Although Company A owns only 50% of the total issued ordinary shares, its holding of the share warrants gives it *de facto* control over Company B

Assessing control of an investee

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Assessing exposure (or rights) to variable returns

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Broad definition of **returns**:

- dividends;
- remuneration from services,
- fees and exposure to losses;
- residual interests on liquidation;
- tax benefits;
- access to future liquidity;
- returns not available to other investors (e.g synergies)

Assessing the link between power and returns

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- Power + rights = necessary conditions for control (but still not enough)
- To control an investee, an investor must also have the ability to use its power to affect investor's returns from its involvement with the investee
- Control = power that can be used to benefit the investor

Significant influence

The Concept of Significant Influence

- An investor may participate in the policy-making processes of an investee, although they may not have the power to govern the final outcome
- IAS 28 describes such an investor as having “significant influence”, and the investee is deemed an “associate” of the investor
- Special accounting procedures described as the “equity method” are applied

What is Significant Influence?

Significant influence

Power to participate in the financial and operating policy decisions of the investee but is less than control and is not equivalent to joint control over those policies (IAS 28:2)

Default assumption:

An investor has ownership of 20% or more of the voting power and equal to or less than 50% of the voting power in an investee, including “potential voting rights”

Other evidences

Number of directors
representing investors
on board

Participation in
policy-making
processes

Operational
interdependencies

Investor must disclose reasons for not complying with default assumption



Learning Objective 1-3

Make calculations and prepare
journal entries for the creation
of
a business entity.



Creating Business Entities

- ◆ The company transfers assets, and perhaps liabilities, to an entity that the company has created and controls and in which it holds majority ownership.
 - The company transfers assets and liabilities to the created entity at book value, and the transferring company recognizes an ownership interest in the newly created entity equal to the book value of the net assets transferred.



Creating Business Entities

- ◆ Recognition of fair values of the assets transferred in excess of their carrying values on the books of the transferring company is not appropriate in the absence of an arm's-length transaction.
- ◆ No gains or losses are recognized on the transfer by the transferring company.



Creating Business Entities

- ◆ If the value of an asset transferred to a newly created entity has been impaired prior to the transfer and its fair value is less than the carrying value on the transferring company's books, the transferring company should recognize an impairment loss and transfer the asset to the new entity at the lower fair value.



Internal Expansion: Creating a subsidiary

- ◆ Parent sets up the new legal entity.
 - Based on state laws
- ◆ Parent transfers assets to the new company.
- ◆ Subsidiary begins to operate.
- ◆ *Example:* Parent sets up Sub and transfers \$1,000 for no-par stock.

Parent:

Investment in Sub	1,000
Cash	1,000

Sub:

Cash	1,000	
Common Stock		1,000





Learning Objective 1-4

Understand and explain the differences between different forms of business combinations.



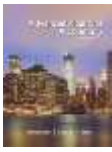
Forms of Business Combinations

◆ A statutory merger

- The acquired company's assets and liabilities are transferred to the acquiring company, and the acquired company is dissolved, or liquidated.
- The operations of the previously separate companies are carried on in a single legal entity.

◆ A statutory consolidation

- Both combining companies are dissolved and the assets and liabilities of both companies are transferred to a newly created corporation.



Forms of Business Combinations

◆ A stock acquisition

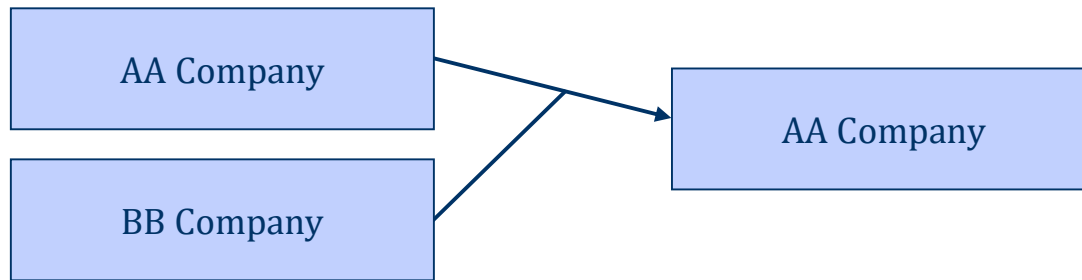
- One company acquires the voting shares of another company and the two companies continue to operate as separate, but related, legal entities.
- The acquiring company accounts for its ownership interest in the other company as an investment.

◆ Parent–subsidiary relationship

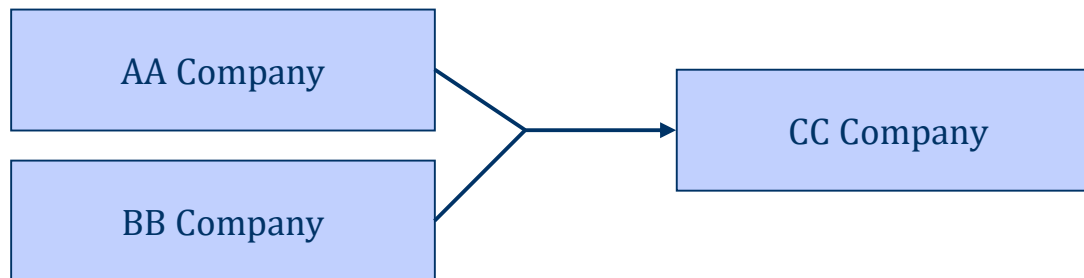
- For general-purpose financial reporting, a parent company and its subsidiaries present consolidated financial statements that appear largely as if the companies had actually merged into one.



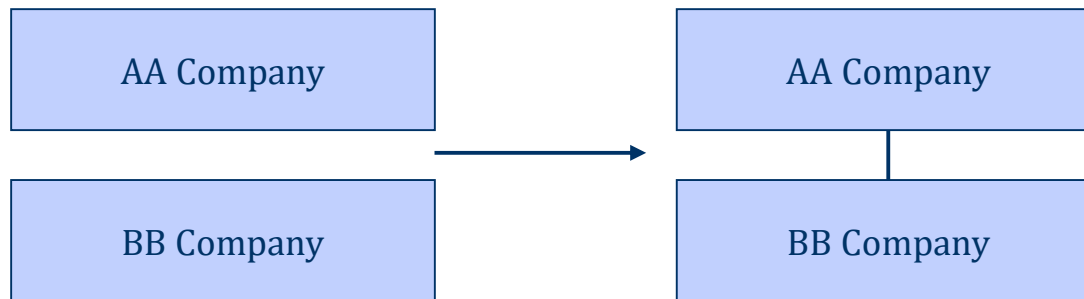
Forms of Business Combinations



(a) Statutory Merger



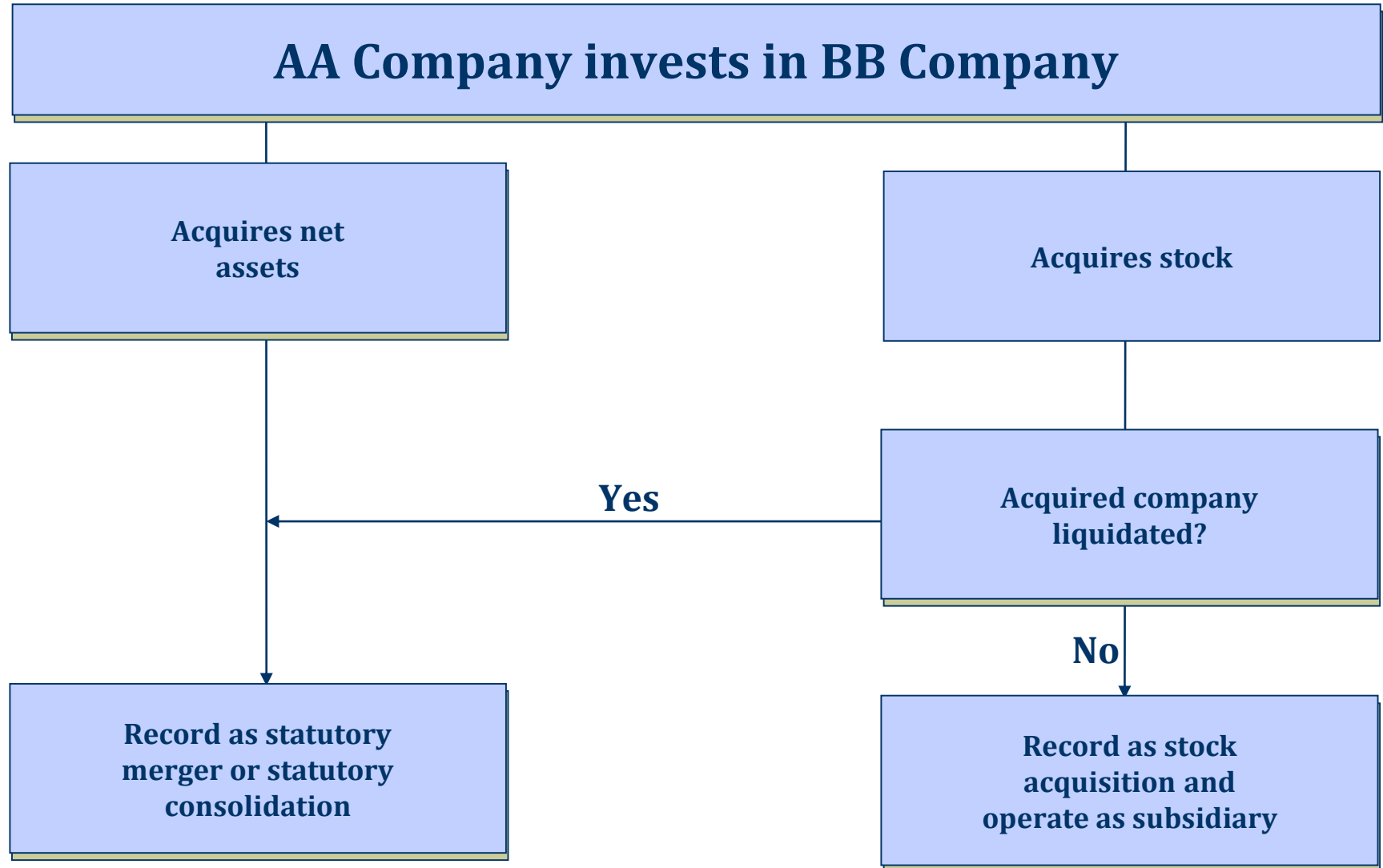
(b) Statutory Consolidation



(c) Stock Acquisition



Determining the Type of Business Combination





Forms of Business Combination—Details

◆ Option #1: Statutory Merger

■ Peaceful Merger:

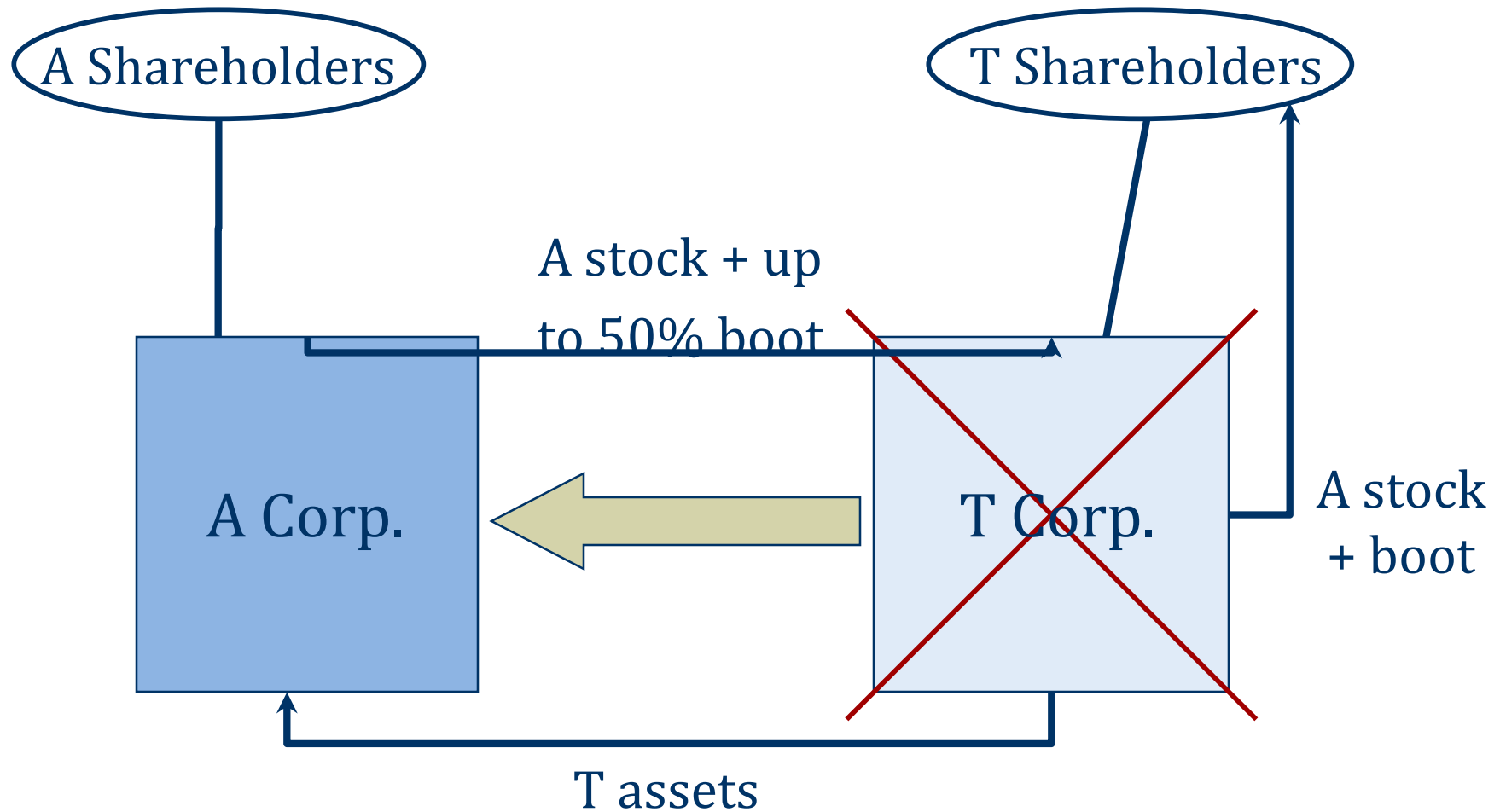
- One entity transfers assets to another in exchange for stock and/or cash.
- It liquidates pursuant to state laws.

■ Hostile Takeover:

- One company buys the stock of another, creating a temporary parent-subsidary relationship.
 - The *parent* then liquidates the *subsidiary* into the *parent* pursuant to state laws.
- The result: one legal entity survives.



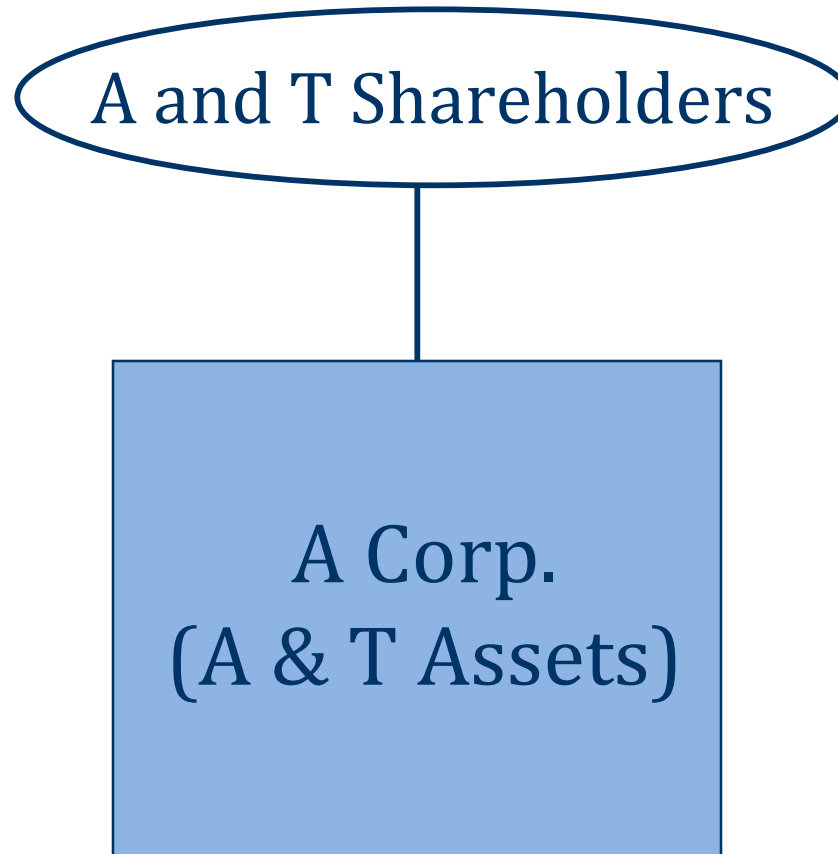
Statutory Merger: *Peaceful Merger*



- Need SH approval from both corporations.

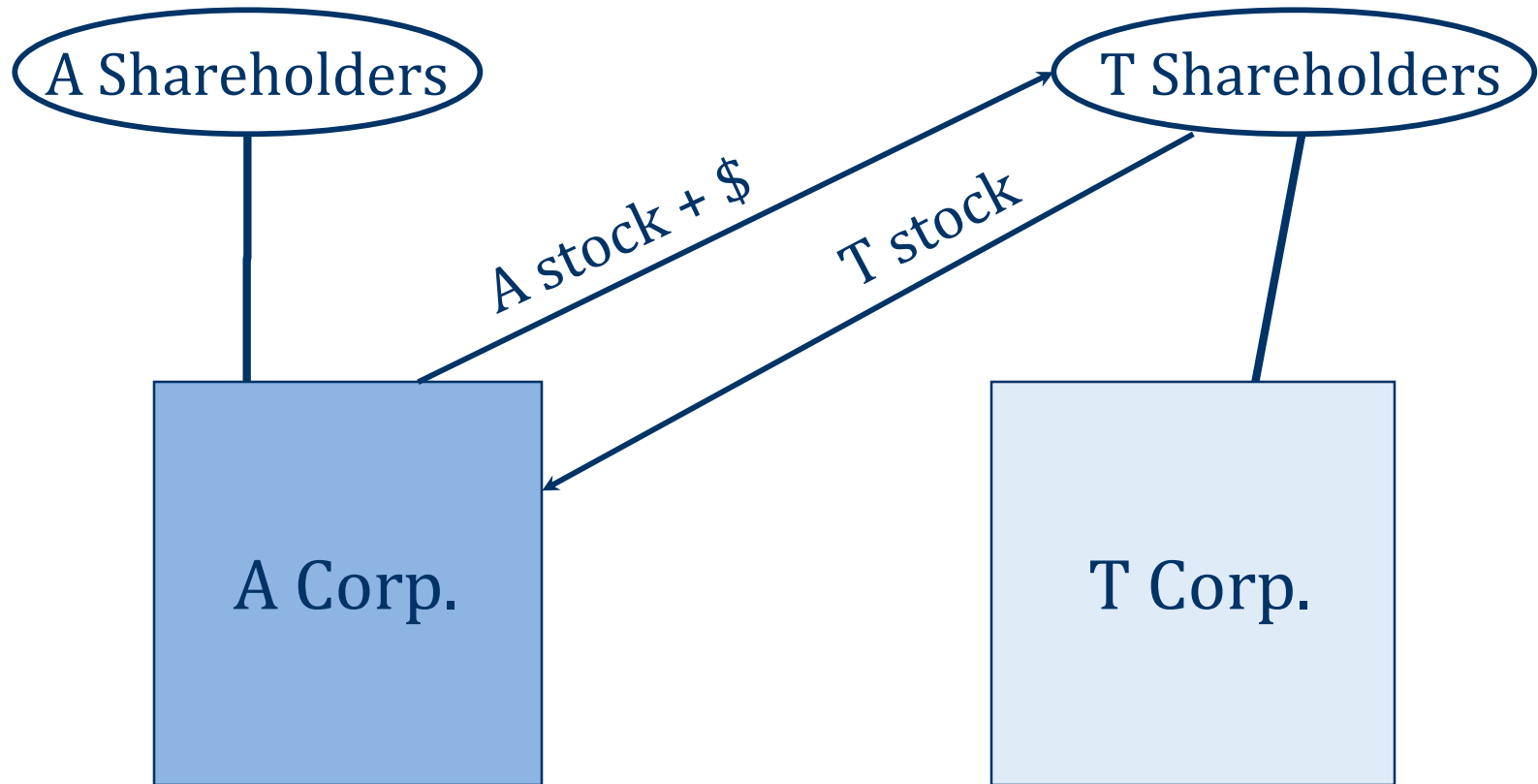


Statutory Merger: *The Result*





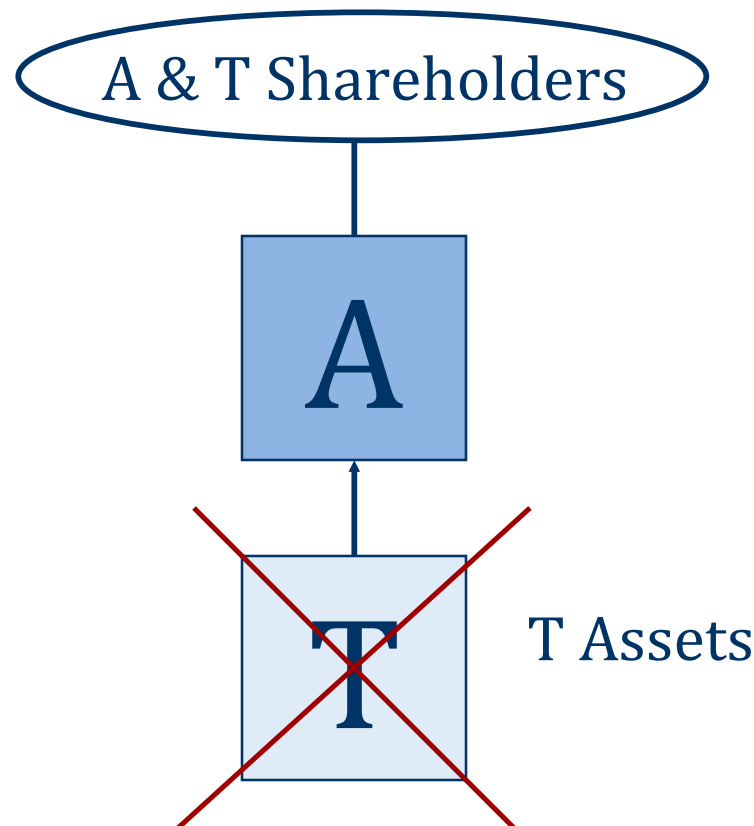
Statutory Merger: *Hostile Takeover*





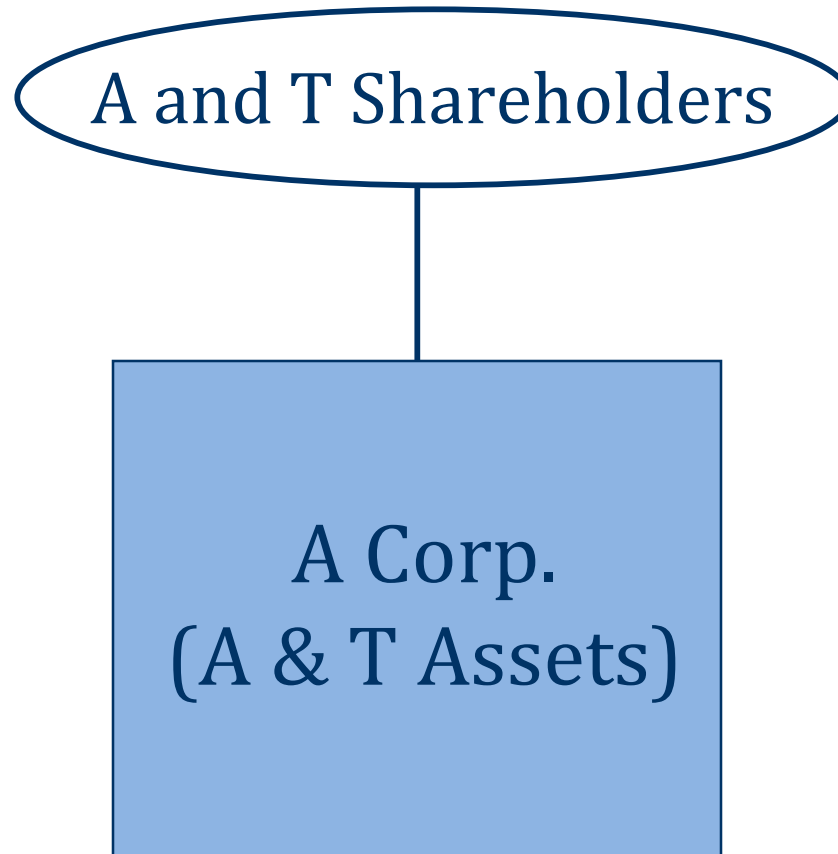
Statutory Merger: *Hostile Takeover*

- ◆ A takes all of T's assets and liquidates the corporate shell.





Statutory Merger: *The (Same) Result*





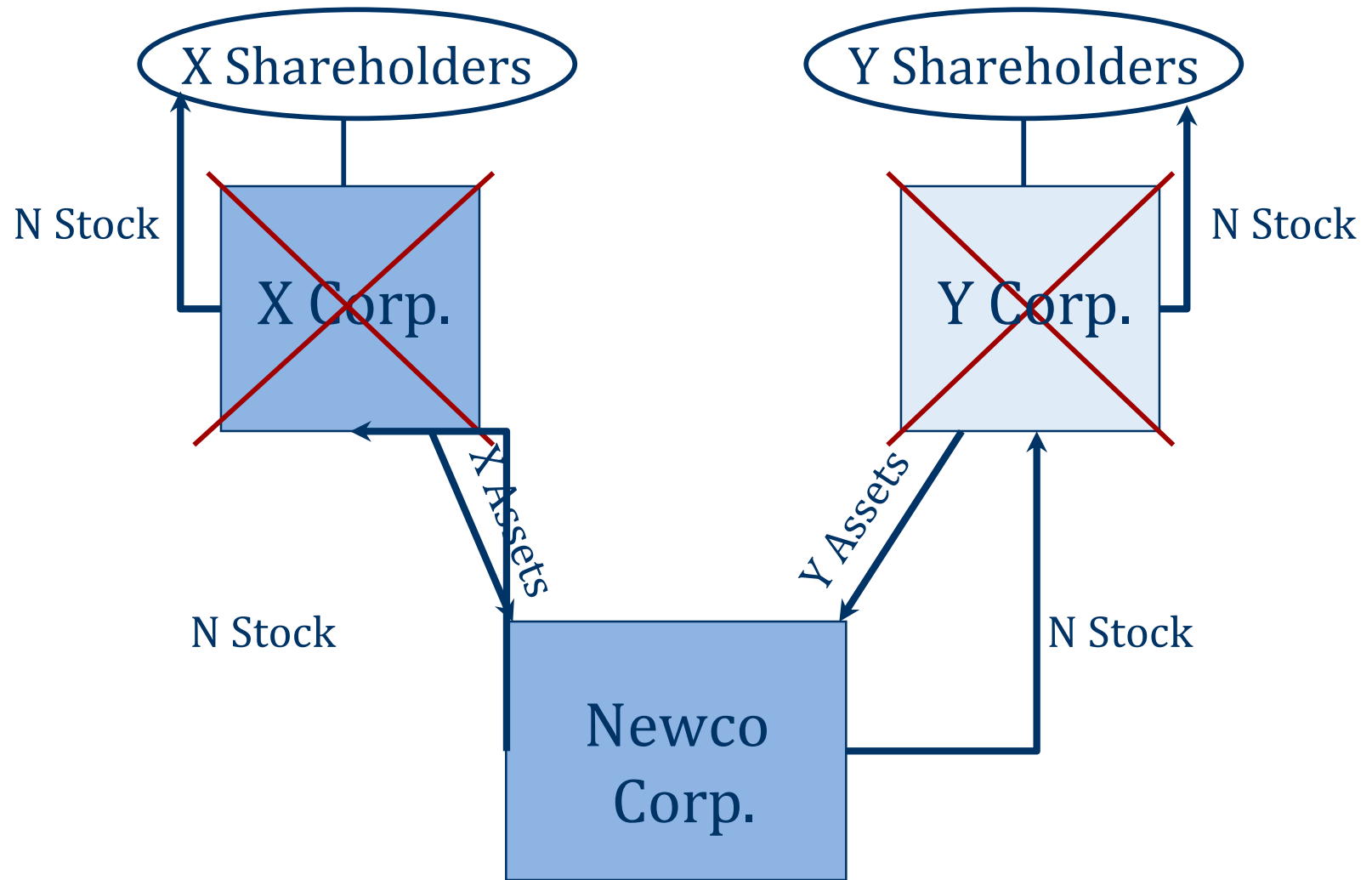
Forms of Business Combination—Details

◆ Option #2: Statutory Consolidation

- New corporation (Newco) is created.
- Newco issues stock to **both** combining companies in exchange for their stock.
- Each combining company becomes a **temporary subsidiary** of Newco.
- Both subs are **liquidated** into Newco and become **divisions**.
- **Result: One legal entity** survives.



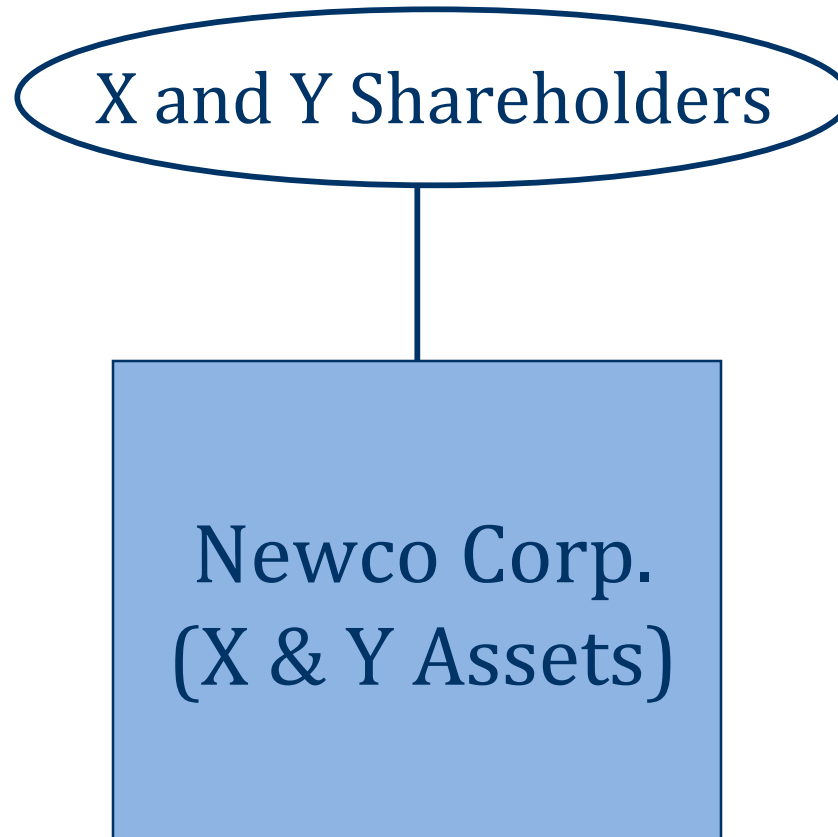
Statutory Consolidation: *The Process*



- Need SH approval from both corporations.



Statutory Consolidation: *The Result*





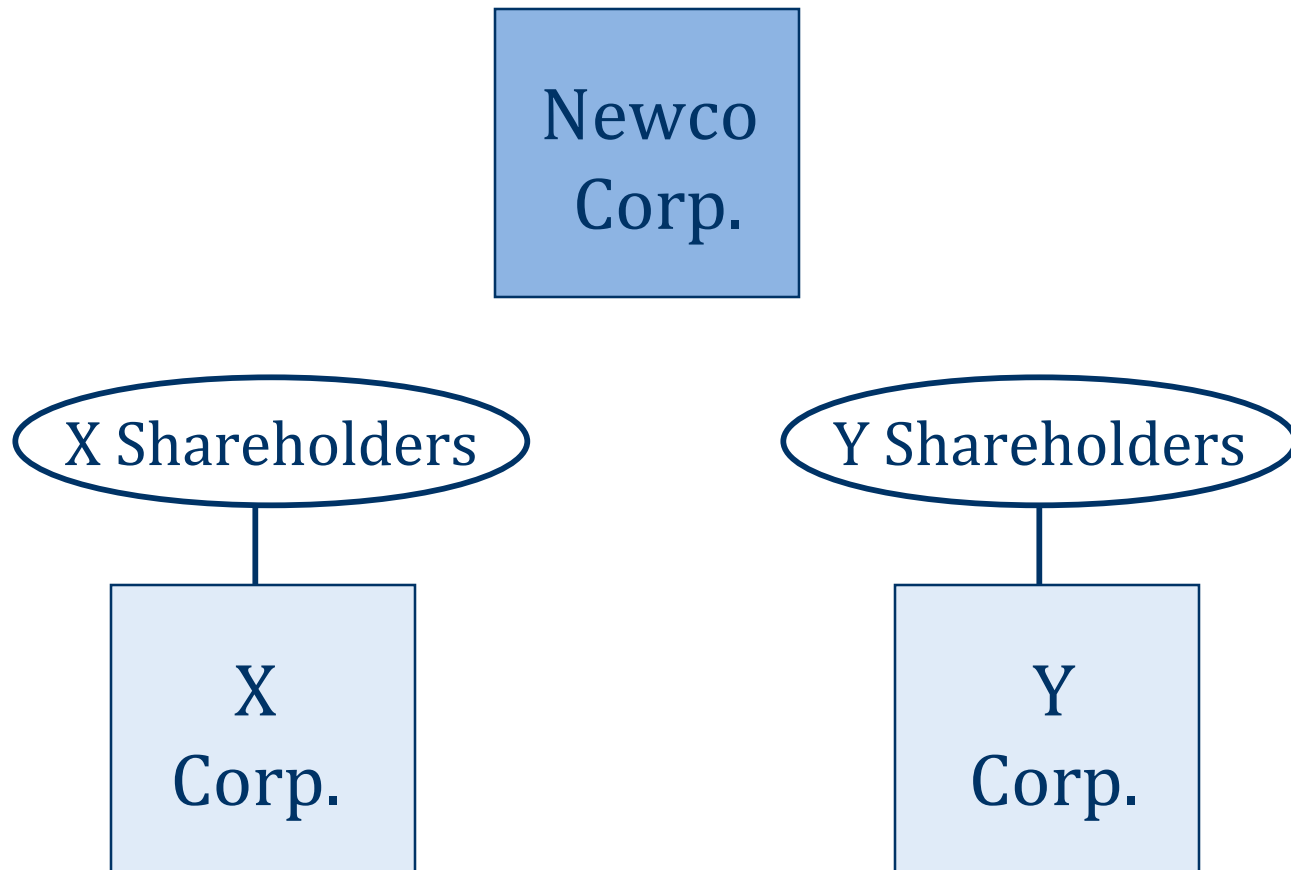
Forms of Business Combination—Details

◆ Option #3: HOLDING COMPANY:

- Similar to a statutory consolidation except that the two subsidiaries are NOT liquidated into newly formed parent corporation.
- Instead, the new company issues its stock to the shareholders of the two existing corporations in exchange for their stock in the two new subsidiary corporations.

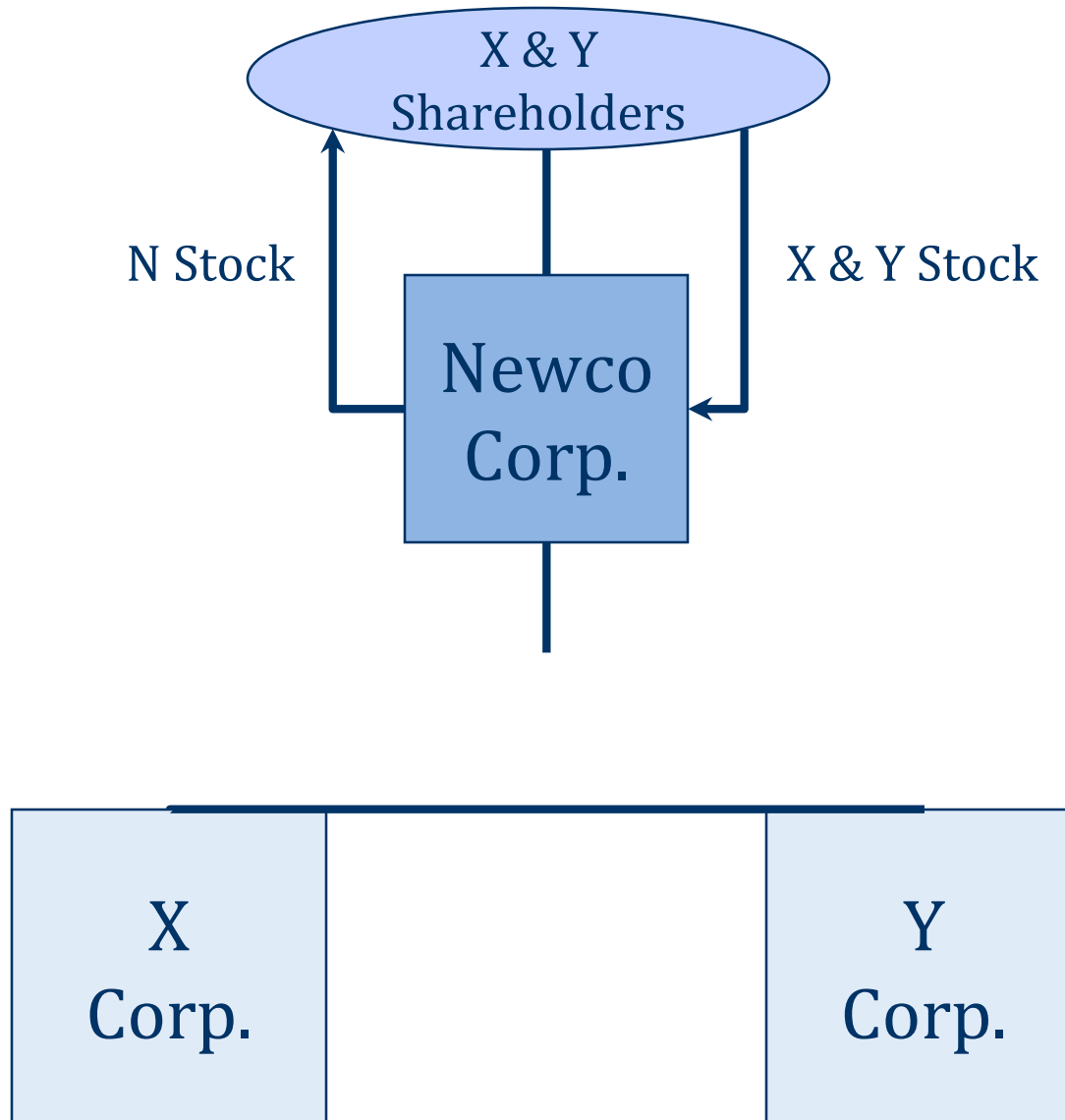


Holding Company: *The Starting Point*





Holding Company: *The Result*





Learning Objective 1-5

Make calculations and business combination journal entries in the presence of a differential, goodwill, or a bargain purchase element.



The Acquisition Method: Items Included in the Acquirer's Cost

- ◆ **Category #1:** The fair value of the consideration given
- ◆ **Category #2:** Certain out-of-pocket direct costs
 - expense!
- ◆ **Category #3:** Contingent consideration
 - Paid subsequent to the acquisition date



Acquirer's Cost: Category 1

- ◆ **Types of Consideration:** Practically any type
 - Cash
 - Common stock
 - Preferred stock
 - Notes receivable or Bonds
 - Used trucks



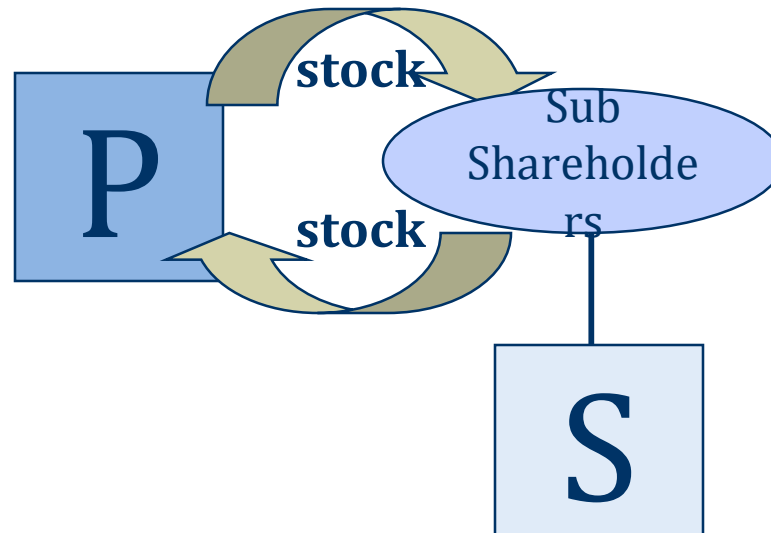
Acquirer's Cost: Category 1

◆ General Rule

- Use the FMV of the consideration *given*.

◆ Exception

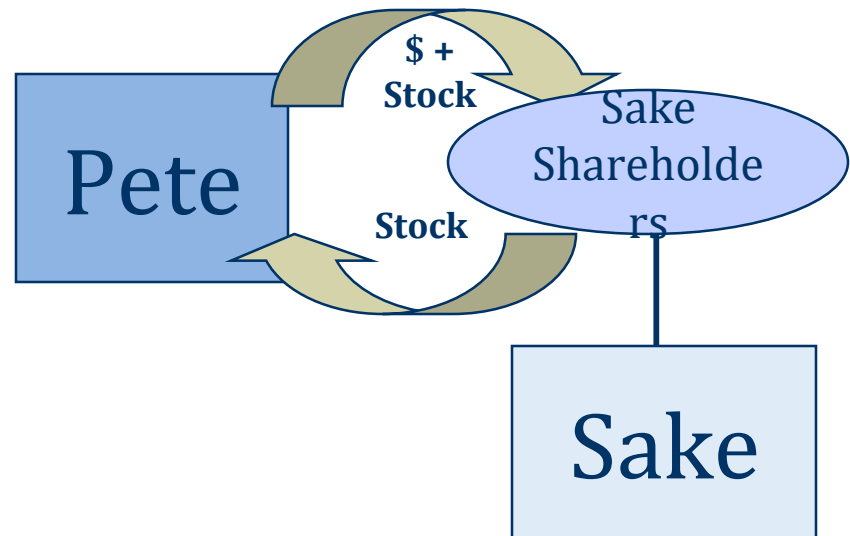
- Use the FMV of the property *received* ... if it is more readily determinable.





Group Exercise 1: *Basic Acquisition*

Pete Inc. acquired 100% of the outstanding common stock of Sake Inc. for \$2,500,000 cash and 20,000 shares of its own common stock (\$1 par value), which was trading at \$50 per share at the acquisition date.



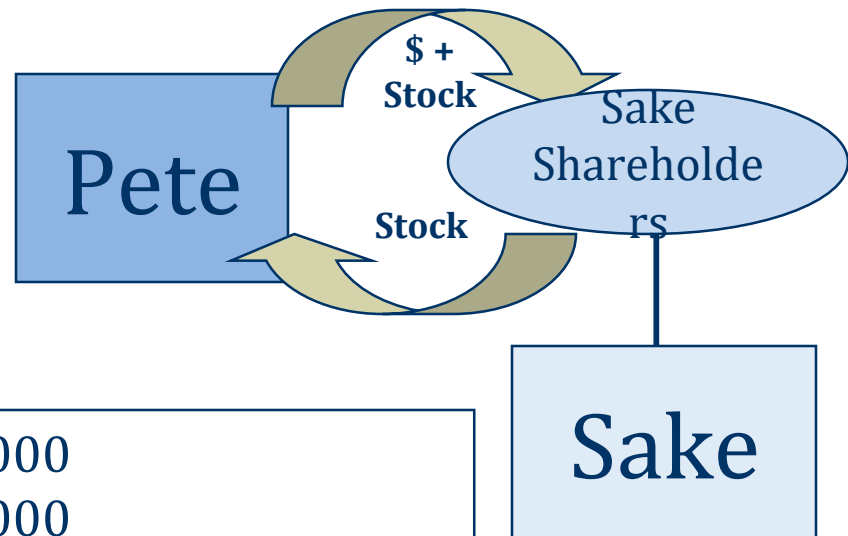
Required: Prepare the journal entry to record the acquisition.



Group Exercise 1: *Basic Acquisition*

Pete Inc. acquired 100% of the outstanding common stock of Sake Inc. for \$2,500,000 cash and 20,000 shares of its own common stock (\$1 par value), which was trading at \$50 per share at the acquisition date.

<u>Acquisition Cost:</u>	
Cash	\$2,500,000
Stock	<u>1,000,000</u>
Total	\$3,500,000



Investment in Sake	3,500,000
Cash	2,500,000
Common Stock	20,000
Additional Paid-in Cap.	980,000



Acquirer's Cost: Category 2

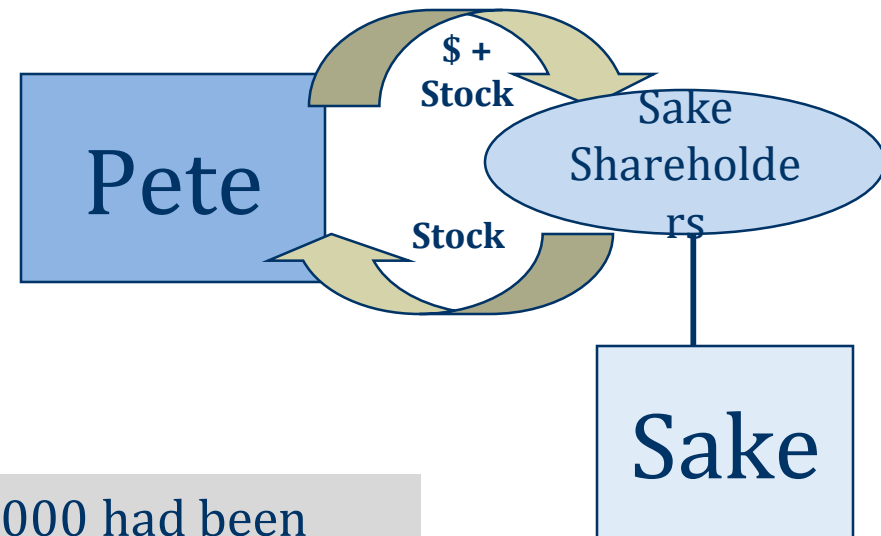
- ◆ costs traceable to the acquisition :
 - Legal fees—the acquisition agreement
 - Purchase investigation fees
 - Finder's fees
 - Travel costs
 - Professional consulting fees
- ◆ Are expensed in the acquisition period.
- ◆ Do not expense direct costs of issuing stock
 - Charge to Additional Paid-In Capital



Group Exercise 2: Recording Direct Costs

Assume the same information provided in Exercise 1. In addition, assume that Pete incurred the following direct costs:

Legal fees (acquisition)	\$ 52,000
Accounting fees	27,000
Travel expenses	11,000
Legal fees (stock issue)	31,000
Accounting fees (review)	14,000
SEC filing fees	<u>9,000</u>
Total	\$144,000



Prior to the consummation date, \$117,000 had been paid and charged to a deferred charges account pending consummation of the acquisition. The remaining \$27,000 has *not* been paid or accrued.

Required: Prepare the journal entry to record the direct costs.



Group Exercise 2: *Solution*

	<u>Charge To</u>	
	<u>Acquisition Expense</u>	<u>Additional Paid-in Capital</u>
Legal fees	\$ 52,000	
Accounting fees	27,000	
Travel expenses	11,000	
Legal fees—SEC		\$ 31,000
Accounting fees—SEC		14,000
Filing fees—SEC		<u>9,000</u>
Totals	<u>\$ 90,000</u>	<u>\$ 54,000</u>

Acquisition Expense	90,000
Additional Paid-in Capital	54,000
Deferred Charges	117,000
Accrued Liabilities	27,000



Acquirer's Cost: Category 3

◆ Contingent Consideration

- **Contingent payments depending on some unresolved future event.**
 - Example: agree to issue additional shares in 6 months if shares given lose value.
- Record at fair value as of the acquisition date.
- Mark to market each subsequent period until the contingent event is resolved.



Goodwill vs. Bargain Purchase Element

◆ <i>FMV Given > FMV of Net Assets</i>	?	Goodwill
◆ <i>FMV Given < FMV of Net Assets</i>	?	Bargain Purchase Element
◆ <i>FMV Given = FMV of Net Assets</i>	?	Neither GW nor BPE



Goodwill: *How to calculate it?*

◆ Goodwill is calculated as the residual amount.

- First, estimate the FMV of identifiable net assets.
 - Includes both tangible AND intangible assets
- Second, subtract the total FMV of all identifiable net assets from the total FMV given by owners.
- The residual is deemed to be goodwill.

$$\text{GW} = \text{Total FMV Given} - \text{FMV of Identifiable Net Assets}$$



Goodwill Example

Assume Bigco Corp. pays \$400,000 for Littleco Inc. and that the estimated fair market values of assets, liabilities, and equity accounts are as follows:

Accounts Receivable	\$ 100,000	Liabilities	\$200,000
Inventory	100,000		
LT Marketable sec.	60,000	Retained Earnings	100,000
PP&E	<u>140,000</u>	Common Stock	<u>100,000</u>
Total Assets	\$ 400,000	Total Liab/Equity	\$ 400,000

Net Assets = Total Assets – Total Liabilities

Net Assets = \$ 400,000 – \$200,000 = \$200,000

Goodwill = Acquisition price – FMV Net
Assets

= \$400,000 – \$200,000 = \$200,000



Goodwill Example Continued

Journal Entry:

Accounts Receivable	\$ 100,000
Inventory	100,000
Marketable Securities	60,000
PP&E	140,000
Goodwill	200,000
Cash	\$ 400,000
Liabilities	200,000



Goodwill: What to Do With It?

◆ Goodwill

- Must capitalize as an asset
- Cannot amortize to earnings
- Must periodically (at least annually) assess for impairment
- If impaired, must write it down—charge to earnings



Bargain Purchase Element: What to Do With It?

◆ Bargain Purchase Element

- Still record assets and liabilities assumed at their fair values.
- The amount by which consideration given exceeds the fair value of net assets is a gain to the acquirer.



Bargain Purchase Example

Assume Bigco Corp. pays \$150,000 for Littleco Inc. and that the estimated fair market values of assets, liabilities, and equity accounts are as follows:

Accounts Receivable	\$ 100,000	Liabilities	\$200,000
Inventory	100,000		
LT Marketable sec.	60,000	Retained Earnings	100,000
PP&E	<u>140,000</u>	Common Stock	<u>100,000</u>
Total Assets	\$ 400,000	Total Liab/Equity	\$ 400,000

Net Assets = Total Assets – Total Liabilities

Net Assets = \$ 400,000 – \$200,000 = \$200,000

Goodwill = Acquisition price – Net Assets
= \$150,000 – \$200,000 = \$(50,000)



Goodwill Example Continued

Journal Entry:

Accounts Receivable	\$ 100,000
Inventory	100,000
Marketable Securities	60,000
PP&E	140,000
Gain	\$ 50,000
Cash	150,000
Liabilities	200,000



Point Corporation Illustration

On January 1, 20X1, Point Corporation purchases all the assets and liabilities of Sharp Company in a statutory merger by issuing to Sharp 10,000 shares of \$10 par value common stock. The shares issued have a total market value of \$610,000. Point incurs legal and appraisal fees of \$40,000 in connection with the combination and stock issue costs of \$25,000.

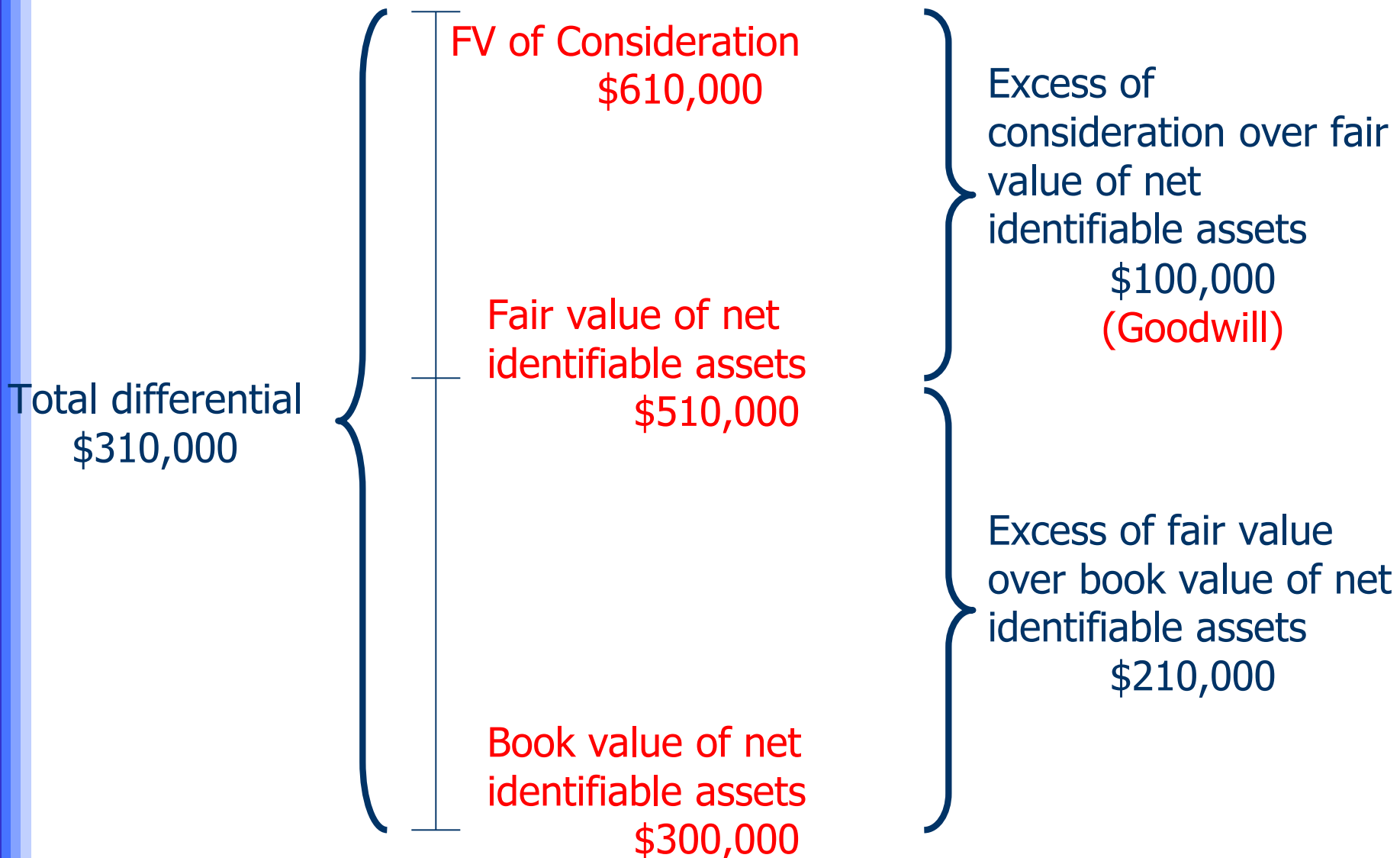
Fair value of stock issued	\$610,000
Legal and appraisal fees	40,000
Stock issue costs	25,000

Sharp Company Balance Sheet Dec 31 20X0

<i>Assets, Liabilities, and Equities</i>	<i>Book Value</i>	<i>Fair Value</i>
Cash and Receivables	\$ 45,000	\$ 45,000
Inventory 65,000	75,000	
Land 40,000 70,000		
Buildings and Equipment	400,000	350,000
Accumulated Depreciation (150,000		)
Patent <u>80,000</u>		<u> </u>
Total Assets \$400,000	\$620,000	<u> </u>
Current Liabilities \$100,000	\$110,000	
Common Stock (\$5 par) 100,000		
Additional Paid-In Capital 50,000		
Retained Earnings <u>150,000</u>		
Total Liabilities and Equities	<u>\$400,000</u>	<u> </u>
Fair value of Net Assets	\$510,000	<u> </u>



Point Corporation Illustration





Point Corporation Illustration

The \$40,000 of other acquisition expense associated with the combination and the \$25,000 of stock issue costs may be recorded in separate temporary “suspense” accounts as incurred:

Merger Expense 40,000
Cash 40,000

Record costs related to acquisition of Sharp Company.

Deferred Stock Issue Costs 25,000
Cash 25,000

Record costs related to issuance of common stock.



Point Corporation Illustration

Cash and Receivables	fair value	
Inventory 75,000	fair value	
Land 70,000	fair value	
Buildings and Equipment	fair value	
Patent 80,000	fair value	
Goodwill		100,000
Current Liabilities	fair value	
Common Stock	book value	
Additional Paid-In Capital	fair value	
Deferred Stock Issue Costs	closed	7,000

Record acquisition of Sharp Company.



Point Corporation Illustration

Entries Recorded by Acquiring Company

Merger Expense	40,000	
Cash		40,000

Record costs related to acquisition of Sharp Company.

Deferred Stock Issue Costs	25,000	
Cash		25,000

Record costs related to issuance of common stock.

On the date of combination, Point records the acquisition of Sharp with the following entry:

Cash and Receivables	45,000	
Inventory	75,000	
Land	70,000	
Buildings and Equipment	350,000	
Patent	80,000	
Goodwill	100,000	
		110,000
Current Liabilities		
Common Stock		100,000
Additional Paid-In Capital		485,000
Deferred Stock Issue Costs		25,000

Record acquisition of Sharp Company.

Entries Recorded by Acquired Company

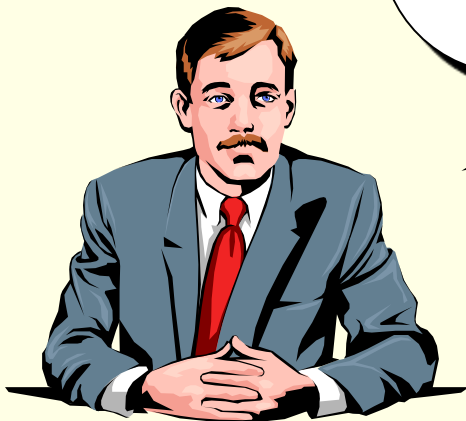
Investment in Point Stock	610,000	
Current Liabilities	100,000	
Accumulated Depreciation	150,000	
		45,000
Cash and Receivables		
Inventory		65,000
Land		40,000
Buildings and Equipment		400,000
Gain on Sale of Net Assets		310,000

Record transfer of assets to Point Corporation.

Common Stock	100,000	
Additional Paid-In Capital	50,000	
Retained Earnings	150,000	
Gain on Sale of Net Assets	310,000	
		610,000
Investment in Point Stock		

Record distribution of Point Corporation stock.

- Sometimes the consideration exchanged is **not fixed** in amount, but rather is contingent on future events
- E.g. A contingent-share agreement
- IFRS requires contingent consideration to be valued at **fair value** as of the acquisition date and classified as either a liability or equity



Contingent consideration

At acquisition date, acquiree has a probable contingency arising from additional future profit. Worst case scenario is no profit. The best scenario is arising profit of \$1,000,000. Acquiree require the future additional profit is considered at acquisition date. Based on probabilistic estimation, the fair value of additional future profit is \$100,000.

Investment	100,000
Liability	100,000

Record contingent consideration by Acquirer.

When the profit of acquiree really increase in the future by \$100,000, the acquirer will pay cash :

Liability	100,000
Cash	100,000

Record payment of contingent consideration by acquirer.

Acquiree contingencies (*Indemnification Assets*)

- Under IFRS, the acquirer must recognize all contingencies that arise from contractual rights or obligations and other contingencies if it is **more likely than not** that they meet the definition of an asset/liability at the acquisition date.
- Recorded by the acquirer as an assets & liability at acquisition-date fair value.
- The indemnification asset is derecognized when the acquirer receives the proceeds or loses right to the asset



Acquiree contingencies (Indemnification Assets)

At acquisition date, acquiree has a less than probable contingency arising from future liability. Worst case scenario of loss from arising liability is \$1,000,000. The best scenario is no loss. Based on probabilistic estimation, the fair value is \$100,000.

Indemnification Asset 100,000

Liability 100,000

Record contingencies by Acquirer Company.

When the liability of acquiree really increase in the future by \$100,000, the acquirer will receive cash :

Cash 100,000

Indemnification Asset 100,000

Record proceed from contingencies by acquirer.



Learning Objective 1-6

Business combination under
common control

Entities under common control

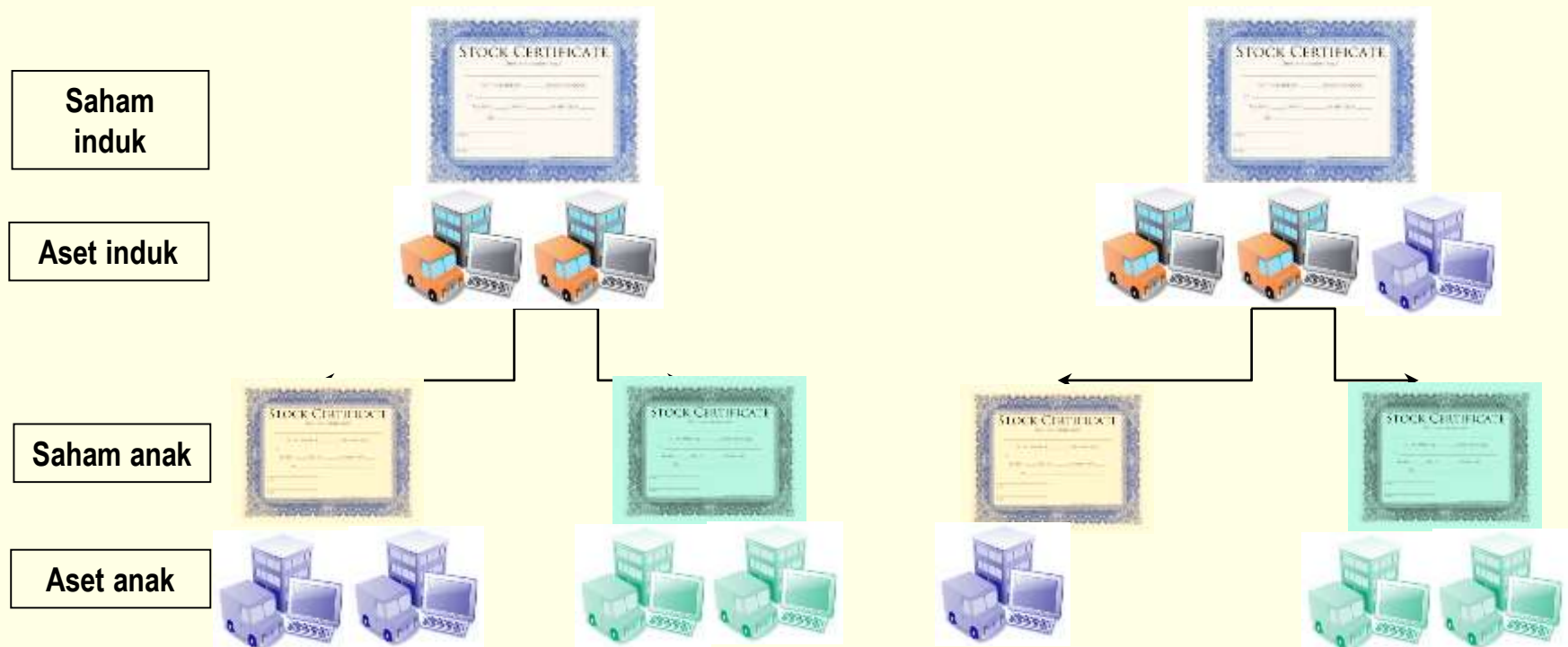
Entities Under Common Control

Parent controls Subsidiary A with its 60 percent voting equity interest and Subsidiary B with its 100 percent voting equity interest. Because Parent controls both A and B, they are under the common control of Parent.



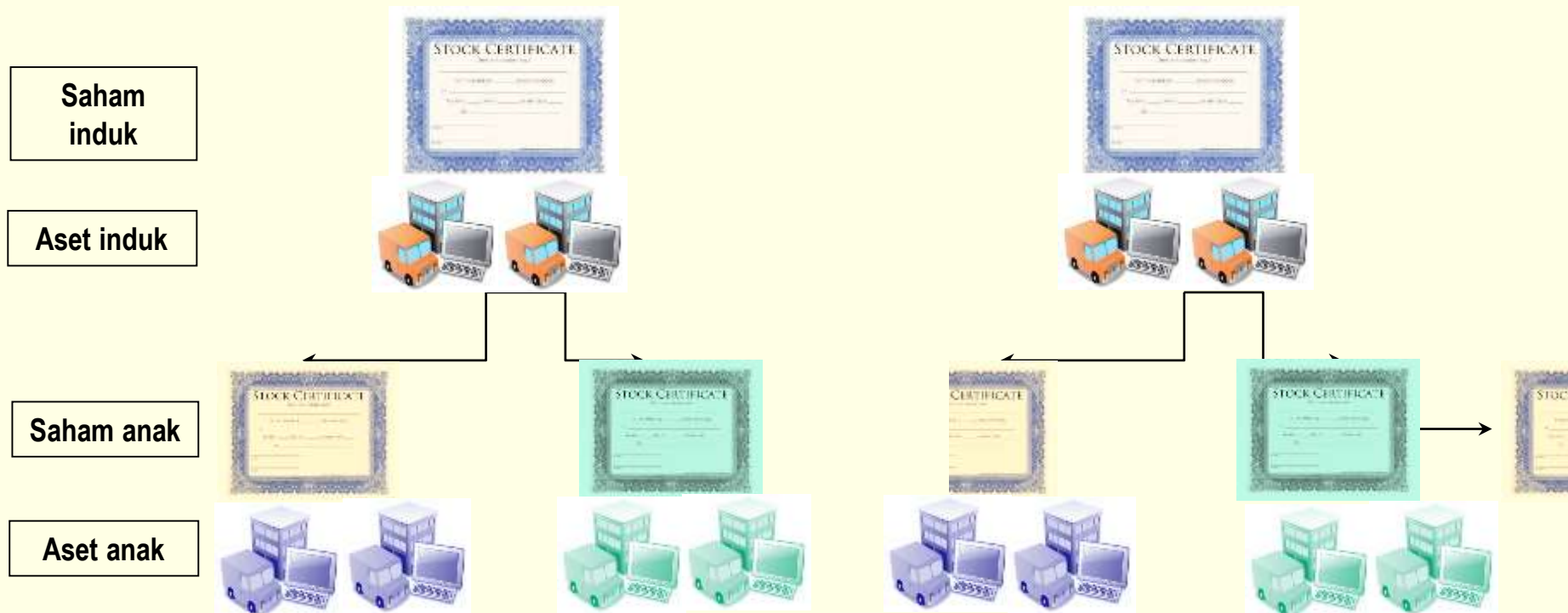
Business combination under common control

1. Suatu induk perusahaan memindahkan sebagian aset bersih dari anak perusahaan yang dimiliki induk perusahaan tersebut menjadi aset induk perusahaan yang bersangkutan.



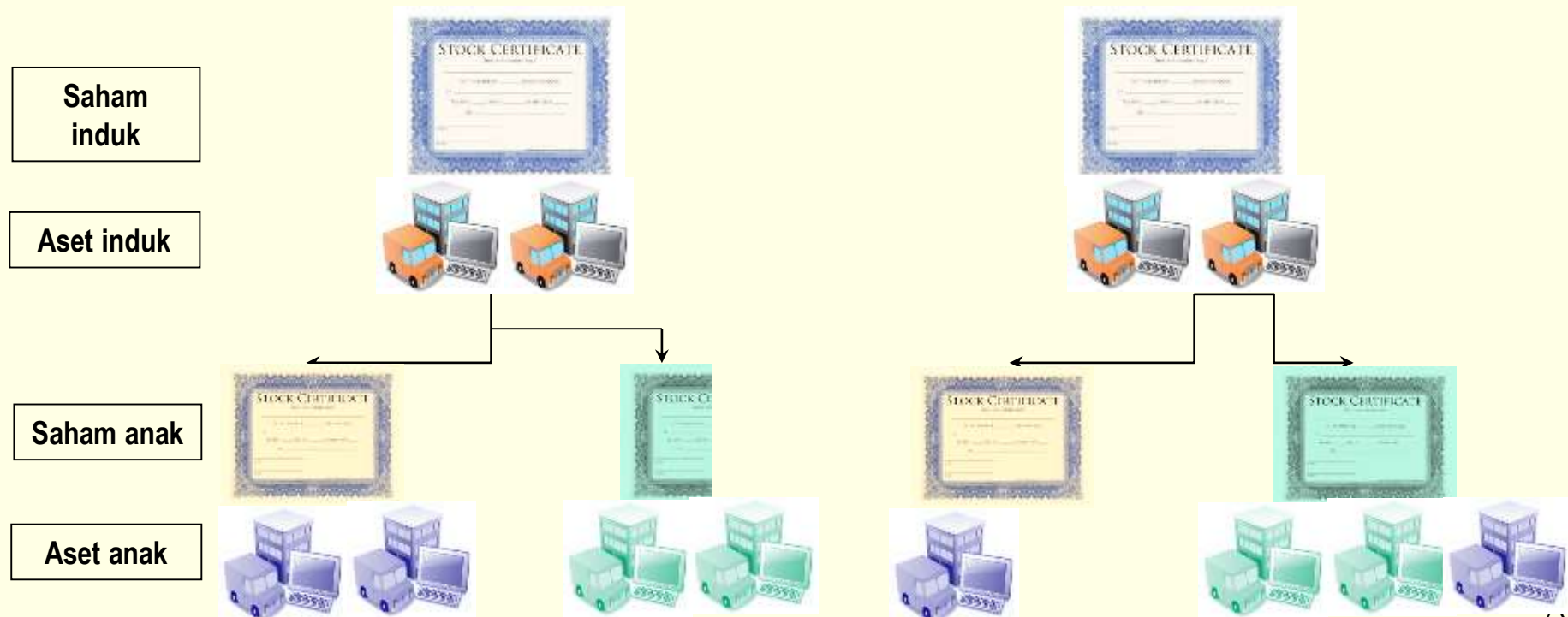
Business combination under common control

2. Induk perusahaan mengalihkan sebagian hak pemilikannya dalam suatu anak perusahaan ke anak perusahaan lainnya yang dimiliki oleh induk perusahaan.



Business combination under common control

3. Suatu induk perusahaan menukar pemilikannya atas sebagian aset bersih dalam anak perusahaan yang dimiliki induk perusahaan tersebut dengan saham tambahan yang diterbitkan oleh anak perusahaan lainnya (yang tidak dimiliki 100%).



Entities under common control

- When accounting for a transfer of assets or exchange of shares between entities under common control, the entity that receives the net assets or the equity interests shall initially recognize the assets and liabilities transferred at carrying amounts.
- A difference between any proceeds transferred and the carrying amounts of the net assets received is recognized in additional paid-in capital in the receiving entity's separate financial statements.



The End